MGT201

Final Term (Live Quiz)

PAID VU LMS HANDLING by Mam Mehwish 03184148783

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Question # 1: Generally, net working capital is defined as:

- **Current assets minus current liabilities** ✓
- **Current liabilities**
- **Total assets**
- **Current assets**

Question # 2: Which of the following risks best explains portfolio returns?

- **Economic factors**
- **Specific risk**
- **Diversification**
- **Systematic risk** ✓

Question # 3: Which of the following is a shortcoming of using payback period to determine the acceptability of a project?

- **It ignores time value of money** ✓
- **It takes into account cash flows after payback period of a project**
- **It ignores cash flows during payback period of a project**
- **It takes into account times value of money**

Question # 4: Assume, ABC Company was following conservative working capital policy and now it wants to move to an aggressive policy. As a result of this shift in policy, the company should expect which of the following?

- Both risk and profitability will decrease
- Both risk and liquidity will increase
- Expected profitability will increase, while risk will decrease
- Decrease in liquidity, while expected profitability will increase ✓

Question # 5: Which of the followings is true with respect to straight line method of depreciation?

- Depreciation expense decreases every year
- Depreciation expense remains constant every year ✓
- None of the given options
- Depreciation expense increases every year

Question # 6: Which of the following is a type of bond?

- All of the given options ✓
- Maturity bond
- Zero coupon bond
- Coupon bond

Question # 7: The time period between ordering and receiving inventory order is known as:

- Lead time ✓
- All of the given options
- Carrying time
- Over time

Question # 8: What will be cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling Rs. 95 per share in the market?

- None of the given options
- 7%
- 12.63% ✓

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- **15%**

Question # 9: Gross working capital can further be classified according to:

- **Time and financing method**
- **Time and rate of return**
- **Time and components** ✓
- **Rate of return and financing method**

Question # 10: Which of the following statement is TRUE, if contribution margin is positive?

- **Both profit and loss can occur** ✓
- **Profit will occur**
- **Profit will only occur if the contribution margin is less than the fixed expenses**
- **Loss will occur if the contribution margin is higher than fixed expenses**

Question 1:
Cost of debt includes:

- ☐ Cost of bonds
- ☐ Cost of fixed income securities
- ☐ Cost of debentures
- ✓ All of the given options

Question 2:
Which of the following is(are) used for estimating cash flows?

- ☐ Initial Cash Outflow
- ☐ Incremental Cash Inflow
- ✓ All of the given options
- ☐ Terminal Cash Flow

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Question 3:
Which of the following statement is TRUE in regards to hedging approach to financing working capital?

- ☐ Financing the short term needs of the business through long term debt
- ☐ Financing the seasonal needs of the business through long term debt
- ☑ Financing the short term needs of the business through short term debt
- ☐ Financing the long term needs of the business through short term debt

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Question 4:
Which of the followings is true with respect to straight line method of depreciation?

- ☐ Depreciation expense decreases every year
- ☐ None of the given options
- ☑ Depreciation expense remains constant every year
- ☐ Depreciation expense increases every year

Question 5:
Which of the followings is/are the example(s) of capital expenditures?

- ☑ All of the given options
- ☐ Investment in alteration of fixed assets
- ☐ Purchase of new fixed asset
- ☐ Replacement of existing fixed asset

Question 6:
Systematic risk is also known as:

- ☐ Avoidable Risk
- ☑ Undiversifiable Risk
- ☐ Controllable Risk
- ☐ Diversifiable Risk

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Question 7:
Assume that ABC Company is following hedging approach and is planning for new capital investment in Plant and Equipment. In such circumstance, which of the following form of finance is most appropriate?

- ☐ 6-month bank notes
- ☐ Trade credit
- ☑ Common stock equity
- ☐ Accounts payable

Question 8:
Lead time is defined as:

- ☐ Length of time it takes to order inventory
- ☐ Length of time before stock out
- ☑ Length of time between ordering and receiving inventory order
- ☐ Time before production is assumed

Question 9:
Which of the following costs are associated with inventory?

- ☐ Re-order costs
- ☐ Inventory purchase price
- ☑ All of the given options
- ☐ Holding costs

Question 10:
Cost of capital includes:

- ☐ Cost of common shares
- ☐ Cost of bonds
- ☐ Cost of preferred shares
- ☑ All of the given options

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Question 1:
Generally, net working capital is defined as:

- ✗ Current assets
- ✗ Current liabilities
- ☑ Current assets minus current liabilities
- ✗ Total assets

Question 2:
Which of the following statement is true in regards to "2/15 net 30"?

- ☑ A 2% discount will be given if payment is made within 15 days
- ✗ A 2% discount will be given if payment is made within 30 days
- ✗ A 15% discount will be given if payment is made within 30 days
- ✗ A 15% discount will be given if payment is made within 15 days

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Question 3:
Which of the following reflects the variability in portfolios return due to change in market return?

- ☑ Systematic risk
- ✗ Unsystematic risk
- ✗ Standard deviation
- ✗ Coefficient of variation

Question 4:
Which of the following is/are the component(s) of return?

- ✗ Interest
- ✗ Additional amount on investment
- ✗ Dividend
- ☑ All of above given options

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Question 5:
Which of the following is a type of bond?

- ✅ All of the given options
- ❌ Coupon bond
- ❌ Zero coupon bond
- ❌ Maturity bond

Question 6:
Which of the following capital budgeting technique use “Interpolation method”?

- ❌ Payback period
- ❌ Profitability Index
- ✅ Internal Rate of return
- ❌ Profitability Index

Question 7:
Which of the following statement is TRUE, if contribution margin is positive?

- ❌ Loss will occur if the contribution margin is higher than fixed expenses
- ❌ Profit will only occur if the contribution margin is less than the fixed expenses
- ✅ Profit will occur
- ❌ Both profit and loss can occur

Question 8:
Which of the following statement is true regarding covariance?

- ✅ The covariance can take on any negative, positive or a zero value
- ❌ The range of covariance lies between -1 to +1
- ❌ The covariance can never be negative
- ❌ The covariance is always positive because it is a squared value

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Question 9:
Capital asset pricing model takes into account:

- ✅ All of the given options
- ❌ Risk free rate of return
- ❌ Market return
- ❌ Beta

Question 10:
Which of the following is(are) used for estimating cash flows?

- ✅ All of the given options
- ❌ Incremental Cash Inflow
- ❌ Terminal Cash Flow
- ❌ Initial Cash Outflow

1. **Which of the following is correct formula for contribution margin ratio?**
    - Total contribution margin / Sales ✅
    - Fixed cost / Contribution margin per unit
    - Sales / Variable costs
    - Sales / Contribution margin per unit
2. **Market risk is also known as:**
    - Volatility risk
    - Systematic risk ✅
    - All of the above given options
    - Unavoidable risk
3. **Lead time is defined as:**
    - Length of time before stock out
    - Time before production is assumed
    - Length of time it takes to order inventory
    - Length of time between ordering and receiving inventory order ✅

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4. **What will be YTM of a 10 years Rs. 1000 face value bond which is paying a coupon of Rs. 100 and bond is currently selling at Rs. 950?**
    - 10.76% ✅
    - None of the given options
    - 12.25%
    - 15%
5. **All are the examples of non-cash items EXCEPT:**
    - Financial charges ✅
    - Amortization
    - Bad debts
    - Depreciation
6. **If the trade discount of "2/10 net 30" is missed, then the rational manager should make the payment at which point of time?**
    - On the final due date ✅
    - Should delay the payment even after the final due date
    - As soon as possible
    - None of the given options
7. **Which of the following is/are types of inventory?**
    - Finished goods
    - Work in process
    - Raw material
    - All of the given options ✅
8. **Generally, gross working capital is defined as:**
    - Total assets
    - Current assets minus current liabilities
    - Current assets ✅
    - Current liabilities
9. **Which of the following reflects the variability in portfolios return due to change in market return?**

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- Unsystematic risk
- Standard deviation
- Systematic risk ☑
- Coefficient of variation

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Question 1:

Which of the following statement is true in regards to “2/15 net 30”?

A) 15% discount will be given if payment is made within 15 days

B) A 2% discount will be given if payment is made within 15 days ✓

C) A 2% discount will be given if payment is made within 30 days

D) A 15% discount will be given if payment is made within 30 days

Question 2:

Which of the following statement is TRUE, if contribution margin is positive?

A) Loss will occur if the contribution margin is higher than fixed expenses

B) Profit will only occur if the contribution margin is less than the fixed expenses

C) Profit will occur ✓

D) Both profit and loss can occur

Question 3:

Gross working capital can further be classified according to:

A) Time and rate of return

B) Time and financing method

C) Time and components ✓

D) Rate of return and financing method

Question 4:

Which of the following statement is TRUE in regards to hedging approach to financing working capital?

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A) Financing the short term needs of the business through short term debt ✓

B) Financing the long term needs of the business through short term debt

C) Financing the seasonal needs of the business through long term debt

D) Financing the short term needs of the business through long term debt

Question 5:

Which of the following is/are motives of holding cash?

A) Precautionary

B) Transactional

C) All of the given options ✓

D) Speculative

Question 6:

Securities issued to offer specified rate of return are classified as:

A) Interest-bearing instruments

B) All of the given options ✓

C) Debentures

D) Debt instruments

Question 7:

Cost of debt includes:

A) Cost of bonds

B) All of the given options ✓

C) Cost of fixed income securities

D) Cost of debentures

Question 8:

Capital asset pricing model takes into account:

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A) All of the given options ✓

B) Beta

C) Market return

D) Risk free rate of return

Question 9:

The beta of the benchmark index or market portfolio is:

A) -1.00

B) 0.50

C) 1.00 ✓

D) 0.00

Question 10:

Which of the following is/are types of inventory?

A) Work in process

B) Raw material

C) All of the given options ✓

D) Finished goods

1. All are the examples of non-cash items EXCEPT:

- a) Amortization
- b) Depreciation
- c) Financial charges
- d) Bad debts
- Correct option: c) Financial charges

2. Capital asset pricing model takes into account:

- a) Risk-free rate of return
- b) All of the given options

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- c) Market return
- d) Beta
- Correct option: b) All of the given options

3. Cost of debt includes:

- a) All of the given options
- b) Cost of fixed income securities
- c) Cost of bonds
- d) Cost of debentures
- Correct option: a) All of the given options

4. What will be NPV of a project if PV of cash inflows is Rs. 550,000 and initial investment is Rs. 600,000?

- a) Rs. 50,000
- b) Rs. 550,000
- c) Rs. 600,000
- d) Rs. 1,150,000
- Correct option: a) Rs. 50,000

5. What will be the cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling Rs. 95 per share in the market?

- a) 7%
- b) 15%
- c) 12.63%
- d) None of the given options
- Correct option: c) 12.63%

6. Which of the following is(are) used for estimating cash flows?

- a) All of the given options
- b) Incremental Cash Inflow

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- c) Terminal Cash Flow
- d) Initial Cash Outflow
- Correct option: a) All of the given options

7. Which of the following is a shortcoming of using payback period to determine the acceptability of a project?

- a) It ignores cash flows during the payback period of a project
- b) It ignores the time value of money
- c) It takes into account the time value of money
- d) It takes into account cash flows after the payback period of a project
- Correct option: d) It takes into account cash flows after the payback period of a project

8. Securities issued to offer a specified rate of return are classified as:

- a) All of the given options
- b) Debt instruments
- c) Interest-bearing instruments
- d) Debentures
- Correct option: a) All of the given options

9. Which of the following is a type of bond?

- a) Zero coupon bond
- b) Maturity bond
- c) Coupon bond
- d) All of the given options
- Correct option: d) All of the given options

10. What will be the weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)

- a) 15%

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- b) 13.875%

- c) None of the given options

- d) 18%

- Correct option: b) 13.875%

1. MCQ 1: Techniques of capital budgeting

Options:

A) Payback period

B) Internal Rate of Return

C) Net profitability value

D) Profitability Index

Correct Option: C) Net profitability value

2. MCQ 2: Estimating cash flows

Options:

A) Initial Cash Outflow

B) All of the given options

C) Terminal Cash Flow

D) Incremental Cash Inflow

Correct Option: B) All of the given options

3. MCQ 3: Cost of debt includes

Options:

A) Cost of debentures

B) All of the given options

C) Cost of fixed income securities

D) Cost of bonds

Correct Option: B) All of the given options

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4. MCQ 4: Capital asset pricing model

Options:

A) Beta

B) Risk-free rate of return

C) All of the given options

D) Market return

Correct Option: C) All of the given options

5. MCQ 5: Types of capital budgeting techniques

Options:

A) Payback Period

B) Internal Rate of Return

C) Net Present Value

D) All of the given options

Correct Option: D) All of the given options

6. MCQ 6: Examples of non-cash items

Options:

A) Depreciation

B) Bad debts

C) Financial charges

Correct Option: C) Financial charges

7. MCQ 7: Examples of capital expenditures

Options:

A) Purchase of new fixed asset

B) Investment in alteration of fixed assets

C) All of the given options

D) Replacement of existing fixed asset

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Correct Option: C) All of the given options

8. MCQ 8: NPV Calculation

Options:

A) Rs. 550,000

B) Rs. 50,000

C) Rs. 1,150,000

D) Rs. 600,000

Correct Option: B) Rs. 50,000

9. MCQ 9: YTM Calculation for a bond

Options:

A) 15%

B) None of the given options

C) 10.76%

D) 12.25%

Correct Option: C) 10.76%

1. Which of the following is a type of bond?

- A. Coupon bond
- B. Maturity bond
- C. All of the given options
- D. Zero coupon bond
- Correct Option: C

2. Cost of capital includes:

- A. Cost of common shares
- B. Cost of bonds
- C. Cost of preferred shares

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- D. All of the given options
- Correct Option: D

3. Which of the followings is/are the example(s) of capital expenditures?

- A. Investment in alteration of fixed assets
- B. Purchase of new fixed asset
- C. Replacement of existing fixed asset
- D. All of the given options
- Correct Option: D

4. What will be the cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling at Rs. 95 per share in the market?

- A. 7%
- B. 15%
- C. None of the given options
- D. 12.63%
- Correct Option: D

5. Which of the followings is true with respect to the straight-line method of depreciation?

- A. Depreciation expense increases every year
- B. Depreciation expense remains constant every year
- C. None of the given options
- D. Depreciation expense decreases every year
- Correct Option: B

6. All are the techniques of capital budgeting EXCEPT:

- A. Internal Rate of Return
- B. Net Profitability Value
- C. Payback period

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- D. Profitability Index

- Correct Option: B

7. All of the following are depreciation methods, Except:

- A. Declining Balance Method

- B. Specific Identification Method

- C. Units of Output Method

- D. Straight Line Method

- Correct Option: B

8. What will be YTM of a 10-year Rs. 1000 face value bond which is paying a coupon of Rs. 100 and the bond is currently selling at Rs. 950?

- A. 15%

- B. 12.25%

- C. 10.76%

- D. None of the given options

- Correct Option: C

9. Which of the followings is/are the type(s) of capital budgeting technique?

- A. All of the given options

- B. Payback Period

- C. Internal Rate of Return

- D. Net Present Value

- Correct Option: A

10. Capital Asset Pricing Model takes into account:

- A. Market return

- B. All of the given options

- C. Beta

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- D. Risk-free rate of return

- Correct Option: B

1. Securities issued to offer a specified rate of return are classified as:

Options:

a) All of the given options

b) Debentures

c) Debt instruments

d) Interest-bearing instruments

Correct Option: b) Debentures

2. All are the techniques of capital budgeting EXCEPT:

Options:

a) Profitability Index

b) Net profitability value

c) Payback period

d) Internal Rate of return

Correct Option: b) Net profitability value

3. All are the examples of non-cash items EXCEPT:

Options:

a) Depreciation

b) Bad debts

c) Amortization

d) Financial charges

Correct Option: d) Financial charges

4. Which of the following capital budgeting techniques use the "Interpolation method"?

Options:

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a) Profitability Index

b) Internal Rate of return

c) Payback period

d) Profitability Index

Correct Option: b) Internal Rate of return

5. What will be the NPV of a project if the PV of cash inflows is Rs. 550,000 and the initial investment is Rs. 600,000?

Options:

a) Rs. 550,000

b) Rs. 1,150,000

c) Rs. 50,000

d) Rs. 600,000

Correct Option: c) Rs. 50,000

6. Which of the following is/are used for estimating cash flows?

Options:

a) Initial Cash Outflow

b) Terminal Cash Flow

c) Incremental Cash Inflow

d) All of the given options

Correct Option: d) All of the given options

7. It ignores the time value of money.

Options:

a) True

b) False

Correct Option: b) False

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8. It ignores cash flows during the payback period of a project.

Options:

a) True

b) False

Correct Option: b) False

9. It takes into account the time value of money.

Options:

a) True

b) False

Correct Option: a) True

10. It takes into account cash flows after the payback period of a project.

Options:

a) True

b) False

Correct Option: a) True

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